30. Pay Attention to How the Market Responds to News

A counter-to-anticipated response to market news may be more meaningful than the news item itself. Platt recalls a trade in which there was a continuing stream of adverse news. He repeatedly expected to lose money after each news item, and yet the market did not move against him. Platt read the inability of the market to respond to the news as confirmation of his trade idea, and he quadrupled his position, turning it into one of his biggest winners ever.

31. Major Fundamental Events May Often Be Followed by Counterintuitive Price Movements

Dalio recalls two such critical events in his early trading career. The U.S. abandonment of the gold standard in 1971 was followed by a huge market rally, as was the Mexican default in 1982. There are two explanations for this type of seemingly paradoxical price behavior. First, such major events are often fully anticipated and discounted, or even overdiscounted. Second, a major bearish fundamental development may spur government actions that can often have a greater market impact than the event itself.